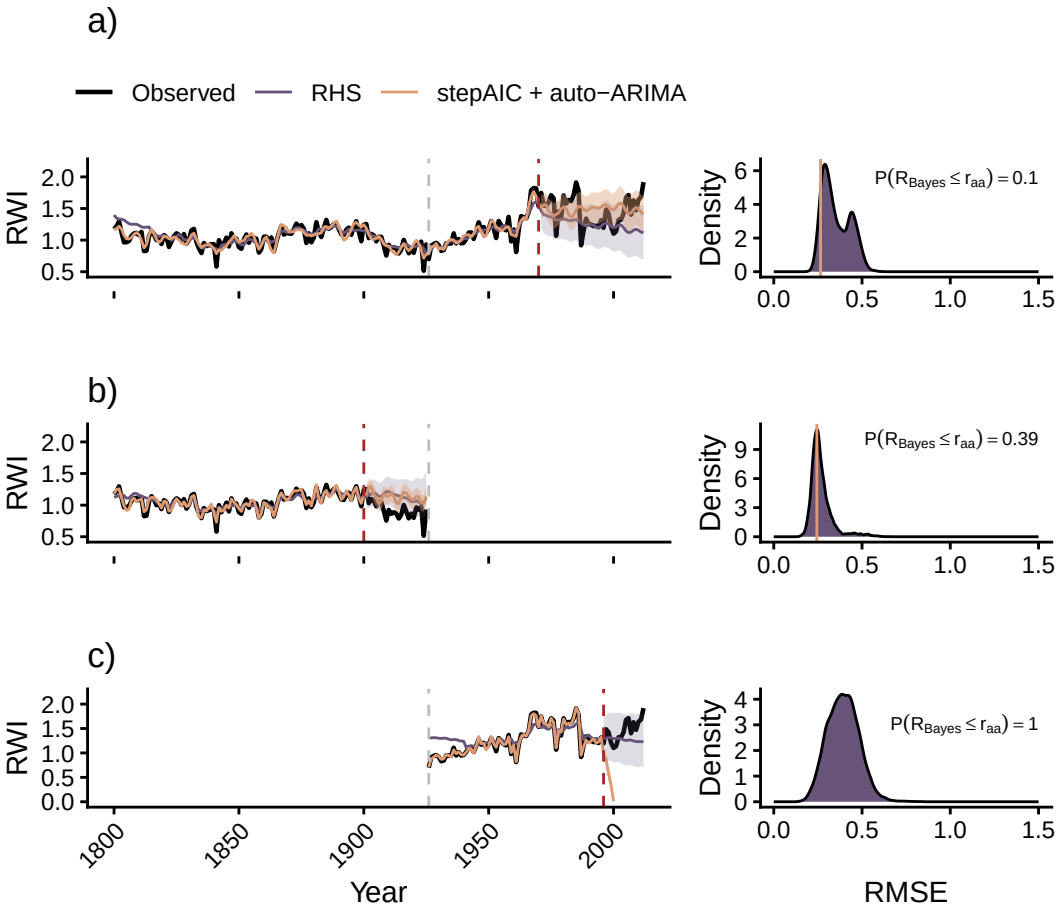
a)
Observed
RHS
stepAIC + auto−ARIMA
RWI
2.0
1.5
1.0
0.5
Density
6
4
2
0
$P(R_{Bayes} \leq r_{aa}) = 0.1$
0.0
0.5
1.0
1.5
b)
RWI
2.0
1.5
1.0
0.5
Density
9
6
3
0
$P(R_{Bayes} \leq r_{aa}) = 0.39$
0.0
0.5
1.0
1.5
c)
RWI
2.0
1.5
1.0
0.5
0.0
Density
4
3
2
1
0
$P(R_{Bayes} \leq r_{aa}) = 1$
0.0
0.5
1.0
1.5
1800
1850
1900
1950
2000
Year
RMSE